

ADBE — what the CFO said on April 21

Adobe trades at $7.64\times$ NTM EV/EBITDA. On April 21, management explicitly articulated the consumption framework the bull case requires the market to adopt. Stock declined anyway.



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Adobe closed \$238.98 on April 23, 2026, down 6.63% on the day. Two trading days earlier, on April 21, Adobe's CFO told a room of financial analysts that consumption pricing is an accelerant to margin structure. The same day, Adobe authorised a \$25 billion share repurchase. The stock traded up 3.5% on April 22, then collapsed on April 23 alongside the broader software complex on Middle East macro fears.



ADBE daily price chart, close \$238.98 on April 23, 2026. Source: TradingView.

The market's bear case on Adobe is that AI displaces seats. Generative tools commoditise creative output, seat count compresses, revenue follows, and the franchise is structurally impaired. At 7.64× NTM EV/EBITDA, the stock is priced as if that path is permanent. The 10-year average multiple is 22.55×.

Daniel Durn, CFO, verbatim, Adobe Summit 2026 Financial Analyst Meeting, April 21, 2026: "When you think about that equation and our ability to price into that headroom, I actually think it's an accelerant as we begin to proliferate these capabilities across the customer base. There's direct through line between outcome, value delivered and what portion of that becomes ours."

Accelerant. Not offset. Not modest impact. The CFO described the consumption transition as margin-accretive at the same event where the buyback was announced.

Shantanu Narayen, CEO, same event: "The business model is also an and. In addition to the core subscription-based pricing, we'll talk about how we're doing consumption-based pricing, whether it's credits, whether you call it tokens as well as freemium."

And. Not instead of. Subscription revenue holds. Consumption revenue layers on top.

David Wadhwani, President of Creativity and Productivity, same event: "We took all of the capabilities within those products, and we started to atomize those as individual MCP endpoints... we exposed those in ChatGPT and Copilot with Gemini and Claude coming in the not-too-distant future."

The bear case treats AI chatbots as competitors that displace Adobe. The architecture Wadhwani described is the opposite. Adobe atomised

forty years of creative software capability — Photoshop, Illustrator, Premiere, After Effects, Acrobat — into MCP endpoints. When a user invokes an Adobe tool through ChatGPT or Copilot, the Adobe endpoint runs the operation.

Wadhwani verbatim, same event, on how that monetises: “We talked about the growth of generative credit consumption, the tokens that we drive has been very significant for us... these conversational experiences drive more utilization, drive more token consumption and more value to the user. So that’s how the monetization flows.”

And on the conversion path: “we also have the user interface to journey them into richer, more precise capabilities in our first-party applications as well. So that becomes a really productive form of top of funnel for us.”

Gemini and Claude confirmed as next integrations per Wadhwani, April 21.

Anil Chakravarthy, President of Digital Experience Business, same event: “Who is playing in the enterprise AI platforms. We have Claude, OpenAI, Microsoft, AWS, NVIDIA, all announcing partnerships and expansions with us.”

Adobe's market opportunity is changing and expanding across Creativity, Productivity & Customer Experience in the era of AI

INDIVIDUALS	ENTERPRISES
Additional surfaces for creation & consumption include AI chatbots, agentic browsers & terminals along with desktop, web & mobile	Additional channels offer companies new opportunities to acquire and engage customers
New conversational interfaces & agents orchestrate across tools to achieve outcomes faster	New AI coworkers & agents deliver automation and outcomes powered by context, data, intelligence, tools, MCPs, and skills
Proliferation of media generation models reshape and democratize content workflows	AI coding enables enterprise software customization accelerated by integrated services and orchestration
New AI-first applications serve broader audiences	Enterprise models customized with deep proprietary data and context deliver results at scale
Business models add freemium and consumption to subscription-based pricing	Business models expand to include consumption and outcome-based pricing along with subscription

Adobe

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Adobe's market opportunity framework. Both individuals and enterprises columns include consumption pricing as additive to subscription. Source: Adobe Investor Summit Q&A, April 21, 2026.

The buyback

Adobe announced a \$25 billion share repurchase authorization on April 21, 2026, through end of April 2030. At \$238.98 per share, \$25B represents approximately 26% of market cap. Durn verbatim, same event: "In the past 3 years, we've reduced our net share count by almost 10%, and that's through disciplined capital allocation."

Driving shareholder value with new buyback authorization



\$25 billion share repurchase authorization through April 2030. Source: Adobe Investor Summit Q&A, April 21, 2026.

A management team that authorises a buyback of this size relative to market cap is signalling one of two things. Either the stock is materially undervalued, or dilution is so severe that aggressive offset is required. Adobe's dilution is not running anywhere near a level that would justify \$25B. The first interpretation applies.

What the multiple actually reflects

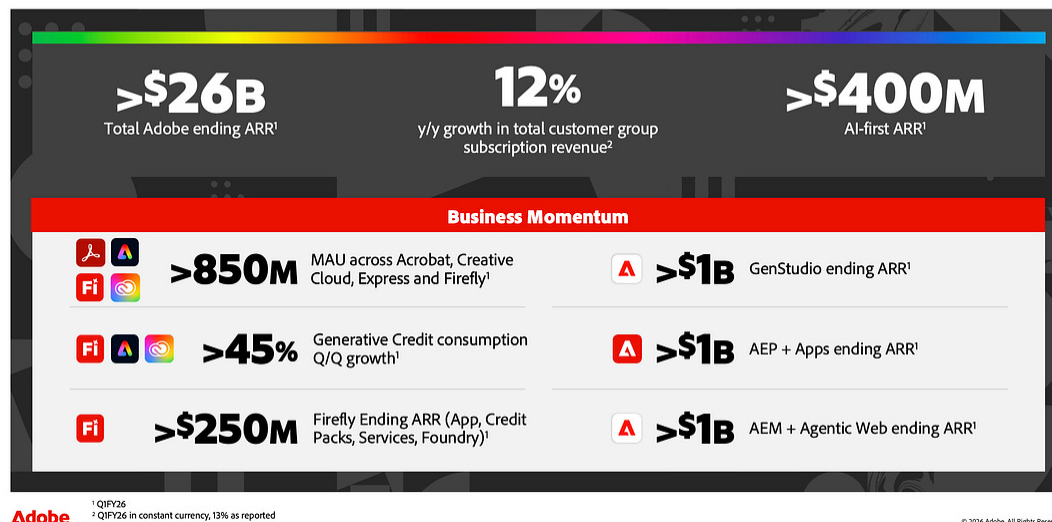
Three things sit in $7.64\times$ NTM EV/EBITDA.

First, cohort drag. The iShares Expanded Tech-Software ETF (IGV) declined approximately 30% from its September 2025 peak as passive outflows hit the SaaS category. Adobe was sold alongside declining peers regardless of its own metrics.

Second, the AI displacement narrative applied as a seat-count framework to a business whose reported numbers show consumption

acceleration. Q1 FY2026: Firefly ARR crossed \$250M at 75% QoQ growth. Generative credit consumption up 45% QoQ. Video generations up 8× YoY. RPO at \$22.22B, growing 12.8% YoY.

Executing against our customer focused strategy in the era of AI



Adobe Q1 FY2026 business momentum. Three separate \$1B+ AI-first product lines, Firefly ARR >\$250M, generative credit consumption +45% QoQ. Source: Adobe Investor Summit Q&A, April 21, 2026.

Third, CEO succession risk. Narayan announced his departure on the Q1 earnings call March 12. The successor has not been named. Until the successor signals continuity, a guidance-reset premium sits in the multiple.

Multiples TIKR.com	28/02/25	30/05/25	29/08/25	28/11/25	27/02/26	23/04/26
Forward Multiples						
NTM Total Enterprise Value / Revenues	8.03x	7.34x	6.18x	5.32x	4.11x	3.62x
NTM Price / Sales (P/S)	8.11x	7.37x	6.15x	5.29x	4.11x	3.63x
NTM Total Enterprise Value / EBITDA	16.18x	14.91x	12.53x	10.79x	8.60x	7.64x
NTM Total Enterprise Value / EBIT	17.41x	16.02x	13.46x	11.55x	9.13x	8.12x
NTM Price / Normalized Earnings (P/E)	21.50x	19.88x	16.31x	14.03x	11.19x	9.92x
NTM Market Cap / Free Cash Flow	20.69x	19.29x	15.64x	13.62x	10.43x	9.38x
NTM Levered Free Cash Flow Yield	4.8%	5.2%	6.4%	7.3%	9.6%	10.7%

ADBE NTM EV/EBITDA progression. Multiple compressed from 16.18× (Feb 2025) to 7.64× (Apr 2026) — 53% compression in 14 months. 10-year mean 22.55×, trough 7.21×. Source: TIKR Terminal.

The consumption framework was articulated in detail by four senior executives on April 21. The buyback was authorised the same day. The stock traded up on April 22, then crashed on April 23 with the broader software complex on Middle East macro fears. The dislocation between fundamentals and price persisted through both moves.

What didn't happen

No CEO succession announcement at Summit. Wadhwani and Chakravarthy were both featured prominently — Wadhwani led the creative narrative, Chakravarthy led the enterprise narrative. Neither was introduced as successor. The succession risk premium remains intact in the multiple.

The June 11 Q2 earnings call is the next gate. Pre-registered conditions: RPO growth at or above 10% YoY, Firefly ARR QoQ at or above 30%. Both must occur simultaneously. RPO is the primary read. A second consecutive quarter at or above 10% removes the evidential basis for the displacement bear case.

Semrush close is expected within weeks of April 21 per Doug Clark verbatim. Full FY2026 guidance update at Q2 earnings June 11.

What breaks the thesis

RPO growth below 10% YoY for two consecutive quarters triggers exit review. RPO declining YoY for two consecutive quarters triggers immediate exit. Absolute Firefly ARR below \$250M in any single

reported quarter triggers immediate exit. The incoming CEO publicly signalling a strategic review, restructuring, or guidance suspension triggers immediate reduction regardless of RPO or Firefly trajectory.

One additional break condition added after Summit: RPO growth at or above 10% YoY for four consecutive quarters AND Firefly ARR crosses \$500M AND NTM EV/EBITDA remains below 10× through end of FY2027 → exit review. The market has had sufficient data to reclassify and refused to.

The setup

Adobe trades at 7.64× NTM EV/EBITDA. The CFO described consumption pricing as an accelerant to margin structure on April 21. The CEO described the model as "and" not "or." MCP endpoints expose Adobe capabilities into every major AI chat interface. \$25B buyback authorised through April 2030. Stock closed \$238.98.

The framework the bull case requires the market to adopt was articulated by management to a room of financial analysts on April 21, 2026. The market sold the stock anyway.

Pushback welcome.

Disclosure: I hold a position in Adobe. This material is for informational purposes only and does not constitute investment advice. All figures sourced from Adobe Summit 2026 Financial Analyst Meeting transcript and Investor Summit Q&A presentation, April 21, 2026 — Narayen, Durn, Wadhwani, Chakravarthy, Clark verbatim; Adobe Q1 FY2026 earnings call and press release, March 12, 2026; Adobe Newsroom, March 12, 2026. Forward multiples for Adobe sourced from TIKR Terminal as of April 23, 2026. Stock price data sourced from Yahoo Finance and TradingView, April 23, 2026.

